

PHARMEASY

Siddharth Shah, Harsh Parekh, Dharmil Sheth, Dhaval Shah and Hardik Dedhia (all 32), Co-founders

WHY IT MADE NEWS

- In May, PharmEasy bought diagnostics chain Thyrocare for Rs 4,546 crore
- The deal was one of the largest in healthcare

and Dharmil Sheth (all 32 years old) to set up a pharmaceuticals delivery firm. The company got a shot in the arm during the pandemic when online ordering became the norm. Earlier, PharmEasy had acquired Medlife to become the first Indian e-pharmacy start-up to enter the unicorn club. With the Thyrocare buy, PharmEasy added lab and clinical testing to its bouquet of services. It claims to cater to five million people in over 1,200 cities, offering both medicines and diagnostic services. What explains the audacious acquisition by these youngsters? Experts call the move blitzscaling, the process of rapidly building out a company to serve a large market, sometimes even going global, with the goal of becoming the first mover at scale. Reid Hoffman, co-founder of LinkedIn and PayPal, says that in a networked age and a globalised environment, companies have to move quickly, "because competition from anywhere on the globe may beat you to scale". Funding PharmEasy's ambitions are a clutch of investors, including Temasek, Prosus Ventures and TPG Growth. According to Ritesh Banglani, partner with Stellaris Venture Partners, valuation is a consequence and not a cause for optimism about a particular industry. "Global investors are extremely optimistic about the tech industry in India," he says. "Valuation only signals investor expectations and gives easy access to capital." In the end, it is up to these companies to deliver on those expectations, he adds.

Big, audacious growth: Moving fast to gain as much market share as possible is key to staying ahead of the competition. In this regard, RazorPay's success has been phenomenal. The company was founded in 2014 by Shashank Kumar, 30, and Harshil Mathur, 31, both IIT Roorkee graduates. It is a money management firm that offers a fast, affordable and secure way for merchants, schools, e-commerce and other companies to accept and disburse payments online, own a fully functional current account and avail working capital loans. After a 30 per cent dip in the first three months of the pandemic, the firm grew 40-45 per cent month-on-month for the remaining period. It has grown to become India's second most-valuable fintech startup, after Paytm. With the recent Series-F fundraise of around $375 million (Rs 2,812.5 crore), it has raised its valuation to $8 billion (Rs 60,000 crore) from $3 billion (Rs 22,500 crore) in April 2021. The company is planning to add 100,000-odd start-ups to its Rize network—a programme focused on early-stage and boot-strapped start-ups—over the next two years.

Indian entrepreneurs are well-poised to tap into and gain from the digital revolution. Given the big strides taken by Indian tech start-ups, they stand a good chance of emerging as world-beating companies. The coming years will bear testimony to that. With the funding boom expected to spill over to the next year as well, the opportunities are there for the taking. ■